NexusMart: Executive Summary and Business Insights

Jan 2024 to Jun 2025. All amounts in PKR. Figures come from the cleaned warehouse (fact_sales, 315,143 order lines) and match the Power BI dashboard. Definitions follow section 9 of the brief.

Headline numbers

Gross sales	NMV	Net Revenue	Orders	AOV	Return rate	Cancellation rate	Margin
1,436.6M	1,199.3M	1,141.7M	145,338	8,252	5.15%	9.16%	283.7M (24.8%)

Gross sales fall to NMV (1,199.3M) after cancellations and discounts, and to net revenue (1,141.7M) after PKR 57.6M of valid refunds. Margin = net revenue minus cost of goods on kept lines (858.0M).

Answers to the business questions

Question	Finding (evidence from the data)
Categories by revenue and margin	Electronics leads revenue (NMV 427.6M) but earns only 7.3% margin. Fashion is second (245.6M, 38.9% margin). Highest margins: Beauty and Personal Care 46.2%, Mobile and Accessories 40.6%, Health and Wellness 39.6%. Lowest margins: Electronics 7.3% and Grocery 8.2%.
Provinces and cities	Punjab 522.1M (43.5%) and Sindh 337.6M (28.2%) lead; Gilgit-Baltistan (9.1M, 0.8%) and Azad Kashmir (10.9M, 0.9%) are lowest. Top cities: Karachi 226.2M, Lahore 183.2M, Islamabad 87.6M. The top five cities (Karachi, Lahore, Islamabad, Rawalpindi, Faisalabad) hold 51.2% of NMV. 6.4% of NMV sits in cities whose province was missing in the source (shown as Unknown).
Monthly revenue and MoM growth	NMV grew from 42.5M (Jan 2024) to 89.8M (Jun 2025). Largest jumps: Mar 2024 +29.3% and Mar 2025 +52.9% (Ramadan 2025, 101.3M). Largest drop: Apr 2025 -31.6% after Ramadan and Eid. Latest month (Jun 2025) +15.9% on May.
Return and cancellation rates	Overall 5.15% returns (lines with a valid return / delivered lines) and 9.16% cancellations. Return rate drifted down slightly (5.25% Jan-Sep 2024, 5.10% Q4 2024, 5.06% H1 2025). Cancellations rose from 8.78% (Jan-Sep 2024) to 9.68% in Q4 2024 and 9.34% in H1 2025.
Net revenue vs gross by category	Refunds take 3 to 10% of category NMV. Largest gaps: Fashion 245.6M NMV to 223.2M net revenue (-9.1%) and Footwear 85.5M to 79.5M (-7.0%), driven by their high return rates (9.8% and 7.7%). Electronics 427.6M to 413.0M (-3.4%).
Customer lifetime value, repeat purchasing	Observed customer value is PKR 36,085 net revenue per active customer (31,576 customers) over the 18 months. 71.8% of customers bought at least twice (avg 4.6 orders). By region the repeat rate is very similar: North 72.7%, Central 72.0%, South 71.1%. Repeat by category was not analysed.
RFM segments	Champions are the largest revenue segment: 10,993 customers generating 864.8M, 72.1% of NMV. Potential Loyalists follow (5,318 customers, 131.5M, 11.0%). 11,064 registered customers have never bought. RFM scores use fixed recency bands and quintiles of frequency and spend, measured at 30 Jun 2025.
Seller ranking	Seller Quality Score (0-100) = 30% revenue + 30% low return rate + 25% on-time delivery + 15% low cancellation rate, each scaled 0-1 across sellers. Revenue and return rate are weighted highest because they drive profit; delivery and cancellation reflect customer experience. Full ranking on the Seller Performance page. Largest seller by revenue: Zam Zam Solutions 80 (73.8M), far ahead of the next (Prime Bazaar 67, 26.9M).
Delivery vs returns and cancellations	On time is defined as delivered within 4 days (the 75th percentile of delivery time); 76.2% of lines are on time. Late lines (5+ days) are returned 6.14% of the time against 4.85% for on-time lines. Delivery time was not linked to cancellations here, since cancelled orders are not delivered.
High-sales, high-return products	The ten best-selling products return 2.9% to 5.5%, near the 5.15% average, so no top seller is a quality outlier. The real return hotspots are categories: Fashion 9.8% and Footwear 7.7% against about 3.5% elsewhere. A product-by-seller link was not tested.
Seasonality	Revenue per day: 11.11 = 6.48M and Black Friday = 5.18M (single days) against 2.09M on regular days; Ramadan 2.88M and 14 August 2.77M. Eid periods show no revenue lift (2.0M and 2.3M). Cancellations are higher around Eid (12.9% Fitr, 11.5% Adha) than on regular days (9.2%). Return rates stay flat at 5.1 to 5.3% in every period.
Discounts	Lines with no discount make 30.7% margin. Margin falls to 25.4% (up to 10% off), 18.1% (10 to 20%) and -6.4% (over 20%): lines discounted more than 20% (NMV 141.9M, 11.8% of NMV) lose money. Their return rate is also higher (5.55% vs 5.09%). Whether discounts raise volume cannot be proven from this data, since there is no comparison group.
Slow regions	Average delivery time is almost identical by region (North 3.44, Central 3.43, South 3.31 days), with similar cancellations (8.9 to 9.3%) and returns (5.0 to 5.2%). Slower shipping does not explain regional differences.
Payment methods	Cash on delivery has a 13.9% cancellation rate against 3.9 to 4.1% for JazzCash, EasyPaisa, Card and Bank Transfer. Returns are about 5% for all methods. Data quality may partly explain this: COD orders can be cancelled before any payment is recorded, and for split payments we use the largest part as the main method.

Why profit is flat while revenue grows, and three actions

Monthly NMV roughly doubled (42.5M to 89.8M), yet margin slipped from 27.3% (Jan 2024) to 22.2% (Jun 2025). The data points to three drivers: (1) heavy discounts: lines discounted over 20% sell at a loss (-6.4% margin) on 141.9M of sales; (2) rising delivery cost: courier fees paid by NexusMart (81.2M in total, not part of the brief's margin definition) grew from 5.4% of NMV in Jan 2024 to 7.4% in Jun 2025; (3) a low-margin core: Electronics is 36% of sales at a 7.3% margin. Its share was stable (35.9% to 35.4%), so product mix is not what caused the decline.

Action 1 - Cap discounts at 20%. Stop or re-price offers above 20%; they lose 6.4 PKR on every 100 of sales and carry a higher return rate.

Action 2 - Cut delivery cost per order. Renegotiate courier rates or route volume to cheaper couriers, and consider free-shipping thresholds. Shipping cost is up 2 percentage points of sales in 18 months.

Action 3 - Reduce cash-on-delivery cancellations and Fashion/Footwear returns. Add order confirmation or a prepaid incentive for COD (13.9% cancelled, 3x other methods), and review size guides and quality for Fashion (9.8% returns) and Footwear (7.7%). Also review Electronics pricing, which earns only 7.3%.

Assumptions and limitations

Missing ship cities were filled with the customer's city (6,058 orders); bad prices use list price x 1.026; missing courier fees use the courier median; products absent from the catalogue (0.3% of lines) have no cost price, so their margin is not meaningful. Findings describe association, not proof of cause. See the Data Quality Report for every cleaning rule and count.